

IN THE SENATE

SENATE BILL NO. 1286

BY COMMERCE AND HUMAN RESOURCES COMMITTEE

AN ACT

RELATING TO CONSUMER PROTECTION OF VETERANS BENEFITS; AMENDING CHAPTER 6, TITLE 48, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 48-603H, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING VETERANS BENEFITS CONSUMER PROTECTIONS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 6, Title 48, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 48-603H, Idaho Code, and to read as follows:

48-603H. VETERANS BENEFITS CONSUMER PROTECTIONS. (1) As used in this section:

(a) "Compensation" means a payment of any money, thing of value, or financial benefit.

(b) "Veterans benefits matter" means the preparation, presentation, or prosecution of, or advertising or consulting for, any claim affecting any person who has filed or expressed an intent to file a claim for any benefit, program, service, commodity, function, or status to which entitlement is determined under the laws and regulations administered by the United States department of veterans affairs, the United States department of war, or the Idaho division of veterans services pertaining to veterans, veterans' dependents or survivors, or any other individual eligible for such benefit, program, service, commodity, function, or status.

(2) (a) Except as permitted under federal law, no individual shall receive compensation for a veterans benefits matter before the United States department of veterans affairs, the United States department of war, or the Idaho division of veterans services.

(b) No person shall receive compensation for referring any individual to another person for a veterans benefits matter before the United States department of veterans affairs, the United States department of war, or the Idaho division of veterans services.

(3) Persons not accredited by the United States department of veterans affairs and not acting as agents or attorneys but seeking to receive compensation for any veterans benefits matter shall enter into a written fee agreement signed by both parties. Such agreement shall provide that compensation is contingent on an increase in benefits awarded, and if successful, compensation shall not exceed five (5) times the amount of the monthly increase in benefits awarded based on the claim. No initial or nonrefundable fee may be charged by a person handling a veterans benefits matter.

(4) Any person receiving compensation for a veterans benefit matter pursuant to subsection (3) of this section shall provide the following writ-

1 ten disclosure clearly and conspicuously before the consumer signs the fee
2 agreement:

3 This business is not sponsored by or affiliated with the United
4 States Department of Veterans Affairs, the Idaho Division of
5 Veterans Services, or any federally chartered veterans service
6 organization. Other organizations, including but not limited to
7 the Idaho Division of Veterans Services, local veterans service
8 organizations, and federally chartered veterans service organiza-
9 tions, may be able to provide you with this service free of charge.
10 Products or services offered by this business are not necessarily
11 endorsed by any of these organizations. You may qualify for other
12 veterans benefits beyond the benefits for which you are receiving
13 services here.

14 (5) Any person receiving compensation for a veterans benefits matter
15 under a fee agreement pursuant to subsection (3) of this section:

16 (a) May not utilize international call centers or data centers for pro-
17 cessing veterans' personal information;

18 (b) May not use a veteran's personal log-in, username, or password in-
19 formation to access a veteran's medical, financial, or government bene-
20 fits information;

21 (c) Shall ensure that any individual who has access to a veteran's medi-
22 cal or financial information undergoes a background check prior to hav-
23 ing access to such information. The background check must be conducted
24 by a reputable source and include identity verification and a criminal
25 records check; and

26 (d) May not receive any compensation for any services rendered in con-
27 nection with any claim filed within the one (1) year presumptive period
28 of active-duty release, unless the veteran acknowledges in writing that
29 the veteran is within this period and choosing to deny available free
30 services.

31 (6) Nothing in this section shall be construed as applying to, limit-
32 ing, or expanding the requirements imposed on agents, attorneys, or other
33 representatives accredited and regulated by the United States department of
34 veterans affairs.

35 SECTION 2. An emergency existing therefor, which emergency is hereby
36 declared to exist, this act shall be in full force and effect on and after
37 July 1, 2026.